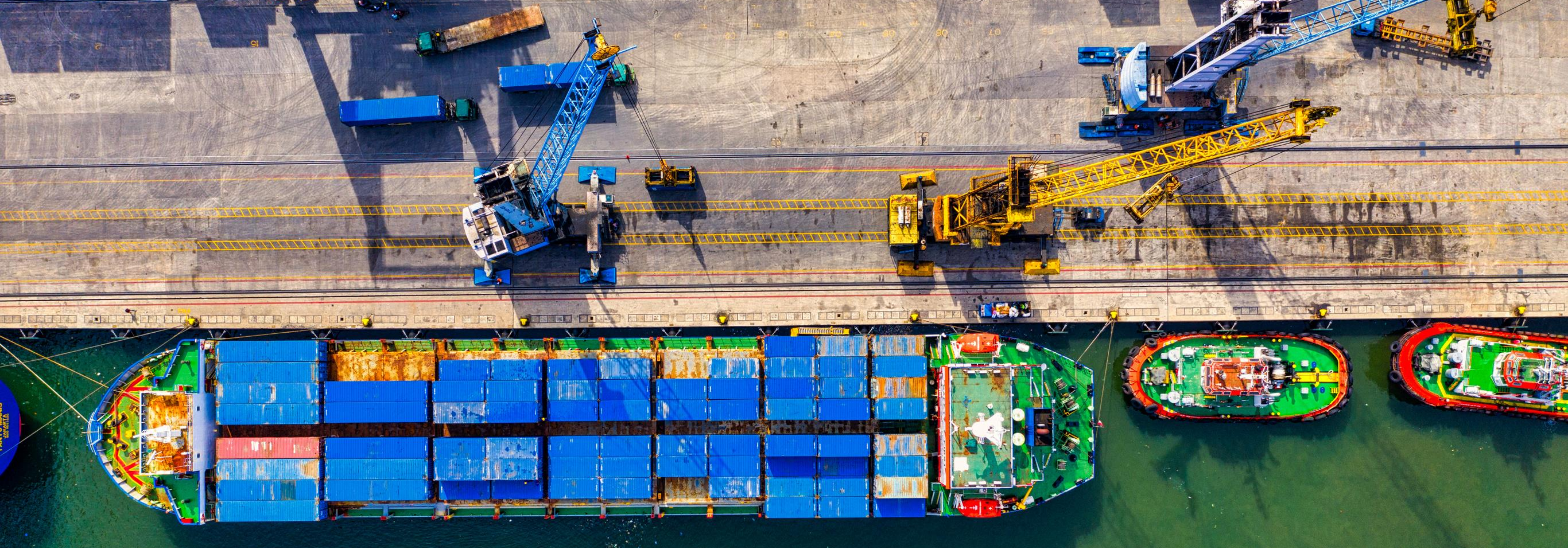
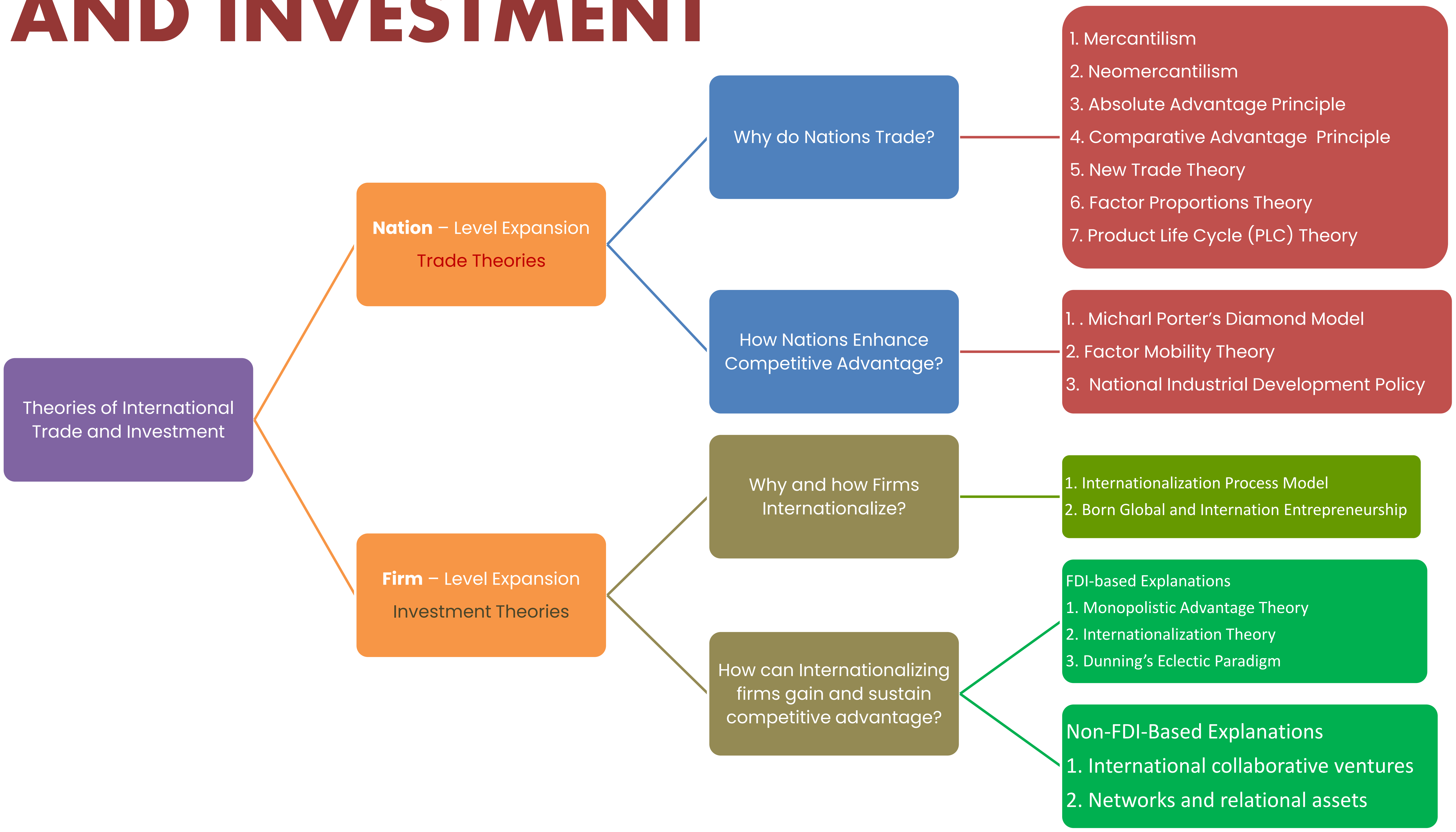


THEORIES OF INTERNATIONAL TRADE AND INVESTMENT

IS 4480

Department of Interdisciplinary Studies

THEORIES OF INTERNATIONAL TRADE AND INVESTMENT



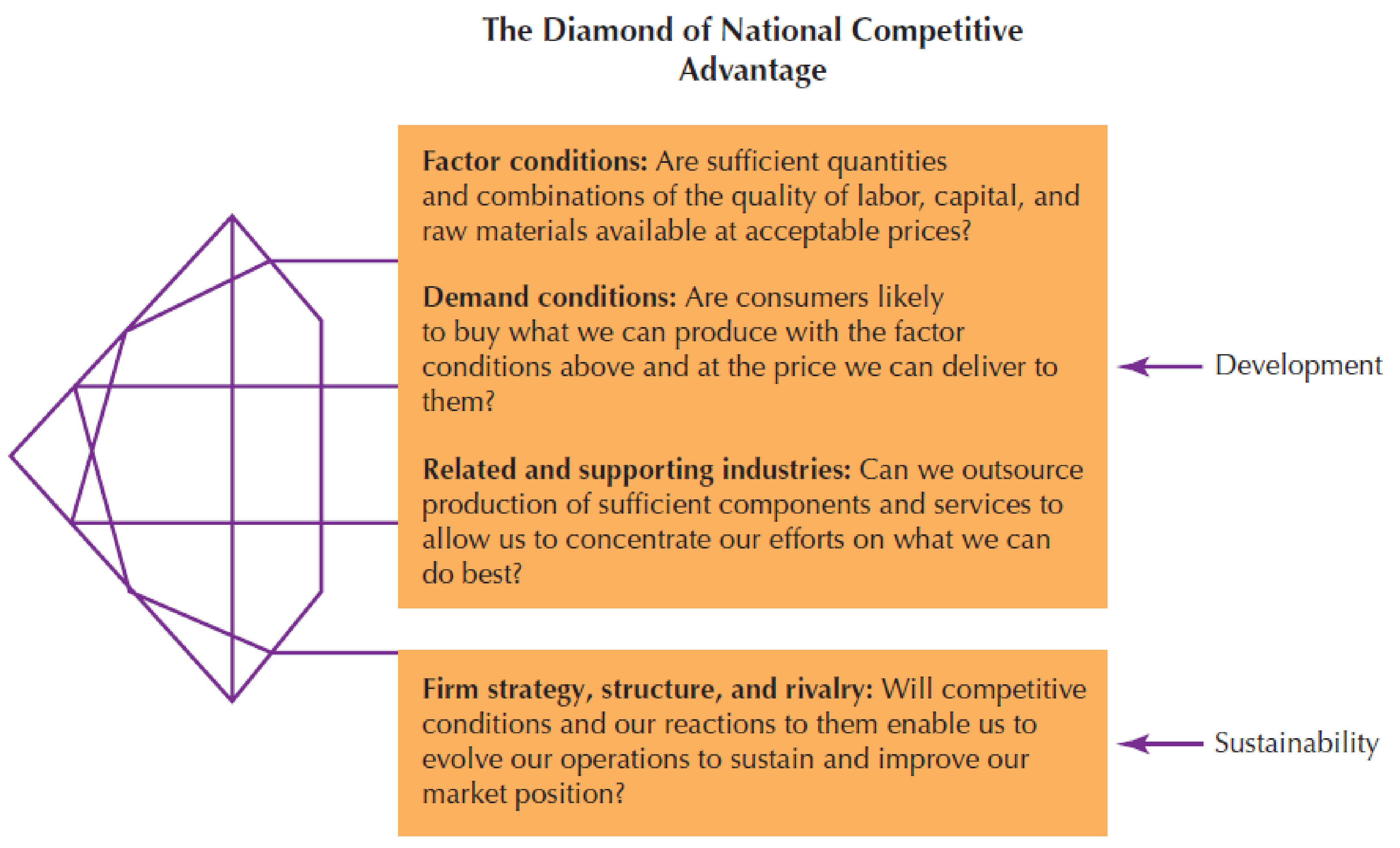
How Nations Enhance Competitive Advantage?

TRADE THEORIES:

1. THE DIAMOND OF NATIONAL COMPETITIVE ADVANTAGE (Michael Porter)

Key Idea: According to the diamond of national competitive advantage theory, companies' development and maintenance of internationally competitive products depends on favorable;

- Factor conditions
- Demand conditions
- Related and supporting industries
- Firm strategy, structure, and rivalry



Source: valuebasedmanagement.net

Limitations:

- This does not guarantee an industry will develop
- It is s not necessary with globalization

TRADE THEORIES:
1. THE DIAMOND OF NATIONAL COMPETITIVE ADVANTAGE (Michael Porter) CTD.

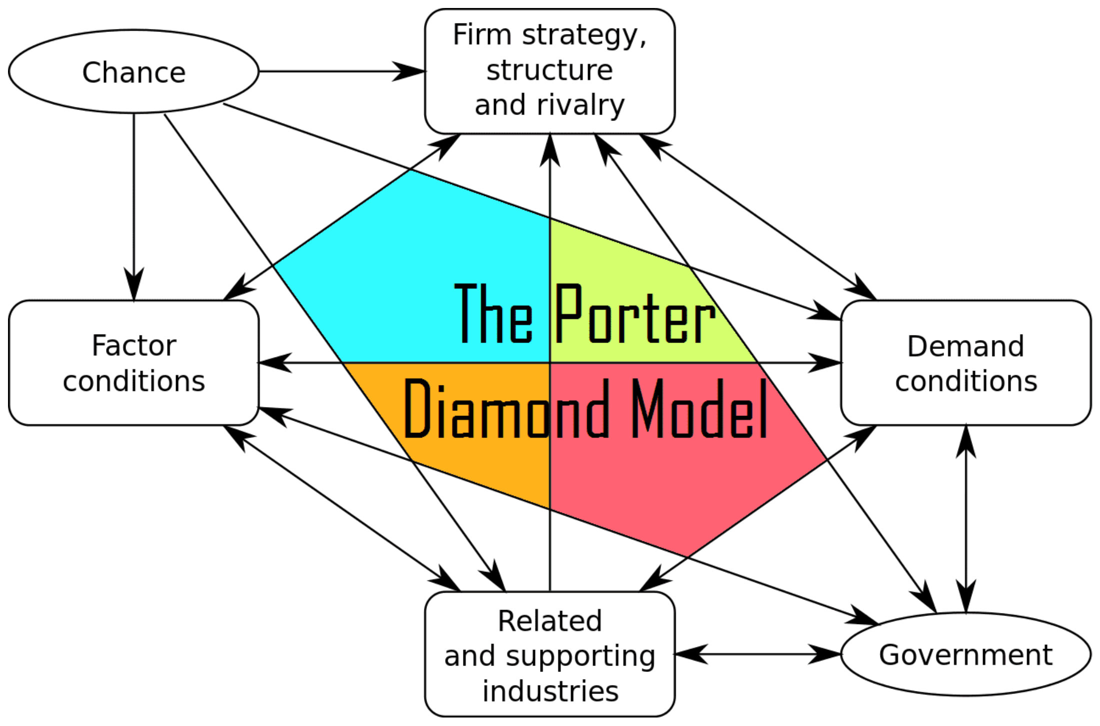
Stages of National Competitive Development

Porter argues that nations evolve through stages:

- Factor-driven
- Investment-driven
- Innovation-driven
- Wealth-driven

Key Critiques:

- Mismatch between nation-level and industry-level analysis
- Strong diamonds not always required
- Overemphasis on home base
- Policy misapplication risks



Source: valuebasedmanagement.net

TRADE THEORIES:
2. FACTOR MOBILITY THEORY

- Factor mobility concerns the free movement of factors of production, such as labor and capital, across national borders.

- While capital is the most internationally mobile factor, short term capital is the most mobile of all.
  - *Capital is primarily transferred because of differences in expected returns, but firms may also respond to government incentives.*

- People transfer internationally to work abroad, either on a temporary or on a permanent basis. Motives are:
  - Economic motives
  - Political motives

- Brain drain occurs when educated citizens leave a country, but a nation may in turn gain from the remittances that citizens who are working abroad send home.

TRADE THEORIES:
2. FACTOR MOBILITY THEORY CTD.

- **Substitution**: the inability to gain sufficient access to foreign production factors may stimulate efficient methods of domestic substitution, such as the development of alternatives for traditional production methods

- **Complementarity**: factor mobility via foreign direct investment may stimulate foreign trade because of the need for equipment, components, and/or complementary products in the destination country.

  - *While immigrants add to the base of a country's skills, thus enabling competition in new areas, inflows of capital can be used to develop infrastructure and natural and other acquired advantages, thus enabling increased participation in the international trade arena.*

TRADE THEORIES:

3. NATIONAL INDUSTRIAL DEVELOPMET POLICY

- A national industrial policy refers to deliberate government strategies aimed at strengthening domestic industries.

- This can include subsidies, tax incentives, investment in R&D, trade protection measures, or creating clusters of specialized industries.

- The goal is to improve productivity, encourage innovation, and position the nation strongly in global markets.

- The policy seeks to achieve this by industrializing strategic sectors, gradually substituting imports with locally produced goods, and reducing dependence on non-renewable oil and gas resources.

- A proactive economic development plan a government initiates to build or strengthen a particular industry.

Features:

- ➢ Tax incentives
- ➢ Monetary and fiscal policies
- ➢ Educational systems
- ➢ Infrastructure
- ➢ Legal and regulatory systems

Key Sectors for Industrialization:
The policy focuses on industrializing sectors with high potential for economic diversification.

- ➢ Agriculture and forestry
- ➢ Fisheries
- ➢ Tourism
- ➢ Construction
- ➢ Extractive industries

The policy is structured around four main areas of intervention:

- ➢ Policy guidelines, coordination, and effectiveness
- ➢ Complementary industrialization
- ➢ Industrial human resources
- ➢ Private sector and cooperatives

Business National Industrial Policy: Sri Lanka (2023-2027)

- Secretary to the Ministry of Industries, announced that the “National Industry Policy,” along with the five-year strategic plan for 2023-2027, has been prepared and submitted to the Department of National Planning.

- This initiative aims to establish a globally competitive national industry base. By 2030.

- The policy aims to increase the manufacturing sector’s contribution to GDP from 16% to 20%, raise the role of entrepreneurship in the workforce from 2.8% to 7%, and boost the share of industrial exports in GDP from 14% to 20%.

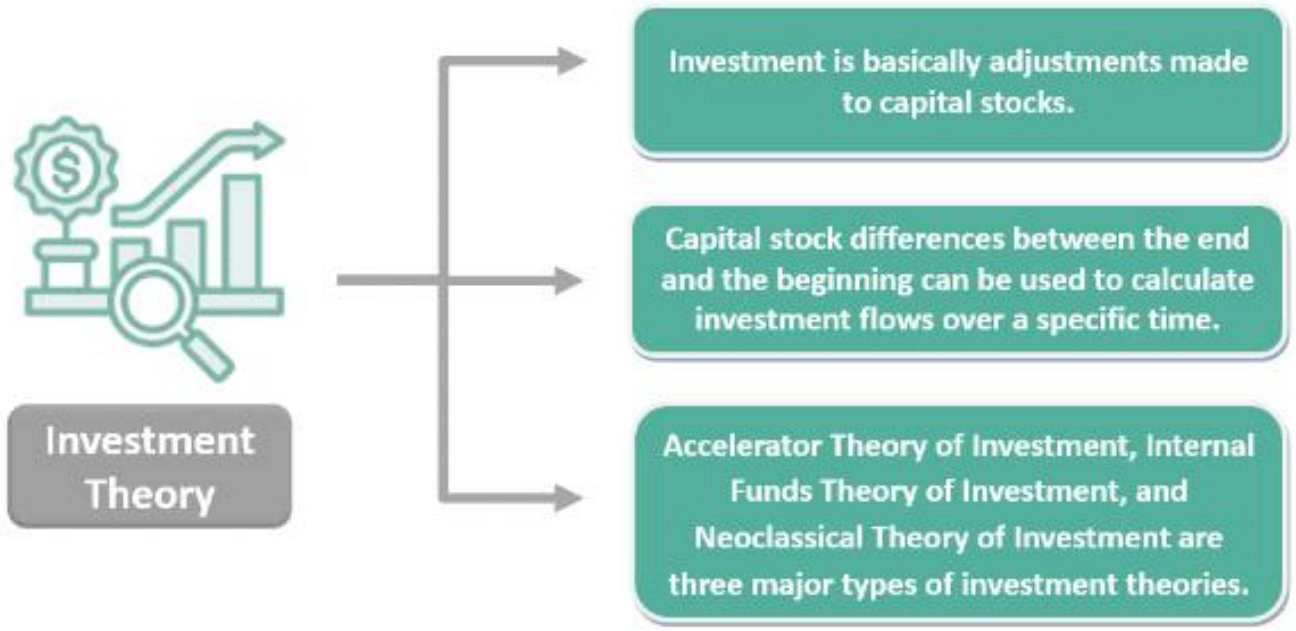
- The Secretary noted that the final draft for amending the Industrial Promotion Act has been submitted to the Attorney General’s Department for approval, ensuring it meets current and future needs.

INVESMENT THEORIES

INVESMENT THEORIES

What Is Investment Theory?

- Investment theory suggests that an investment is an adjustment to the capital stock over a specific period.
- Investment is a flow concept, not a stock concept like capital.
- This implies that capital is computed by taking a short period into account, while investments are computed over a lengthy period.



The Theories of International Investment:

- Micro (industrial organization) theories - These focus on firm-specific decisions and market behavior.
- Macro (cost of capital) theories - These look at broader economic factors that influence investment flows.

It also distinguishes between two types of foreign investment:

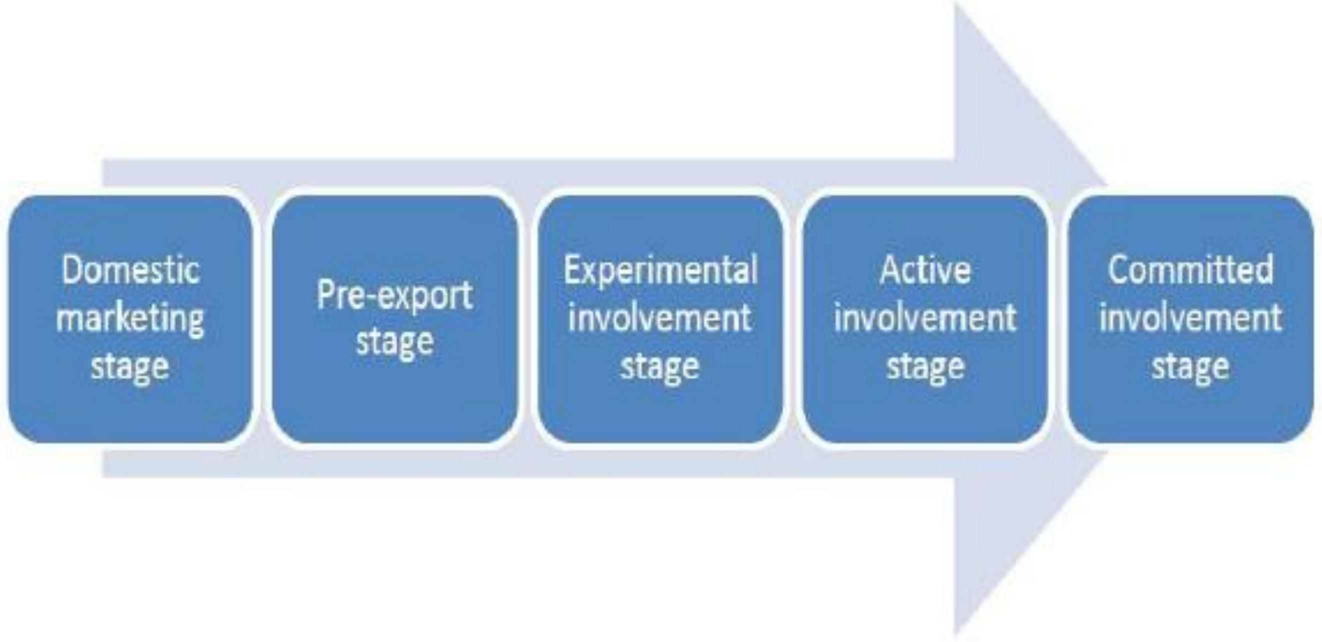
- Foreign Direct Investment (FDI) - Where the investor maintains control over the investment.
- Foreign Portfolio Investment (FPI) - Where the investor holds a property interest in securities but has minimal control.

Why and how Firms Internationalize?

INVESMENT THEORIES - Why and how Firms Internationalize?

1. Internationalization Process Model

- Internationalization process model – 1970s; describes how companies expand abroad.
- Internationalization takes place in incremental stages over a long period.
  - ➢ Domestic focus: Firms cannot yet do business internationally
  - ➢ Pre-export stage: Firm receives unsolicited product orders from abroad -> Management investigates feasibility
  - ➢ Experimental involvement: Initiating limited international activity
  - ➢ Active involvement: Managers view international activity more favorably
  - ➢ Committed involvement: International involvement a key part of profit-making and value-chain activities



Source: Stages of innovation related model
(Otto Andersen, 1992 page 213 as edited by Tahir and Mehmood, 2010.)

INVESMENT THEORIES - Why and how Firms Internationalize?

2. Born Global and International Entrepreneurship

- What does Born Global mean?

  From the early start of their activity, those start-ups operate outside their domestic market, usually marketing their products or services online. But above all, they integrate an international vision into all their decisions and processes.

- Following factors are contributing to the decision to internationalize early:
  - New market conditions – the presence of global networks and alliances, homogenization of buyers' needs, the global nature of the contemporary business and following customers abroad
  - Technological advances – advances in communication technology, e-business possibilities and lower fixed costs that make small projects profitable
  - Learning from overseas – tapping into technological innovation and the networks of people.

- Have emerged for two reasons:
  - Globalization has made doing international business easier than ever before
  - Advances in communication and transportation technologies have reduced the costs of operating internationally

INVESMENT THEORIES - Why and how Firms Internationalize?

2. Born Global and International Entrepreneurship

Enablers of internationalization:

- Knowledge intensity
- Hard-to-imitate technology
- Competitive advantage

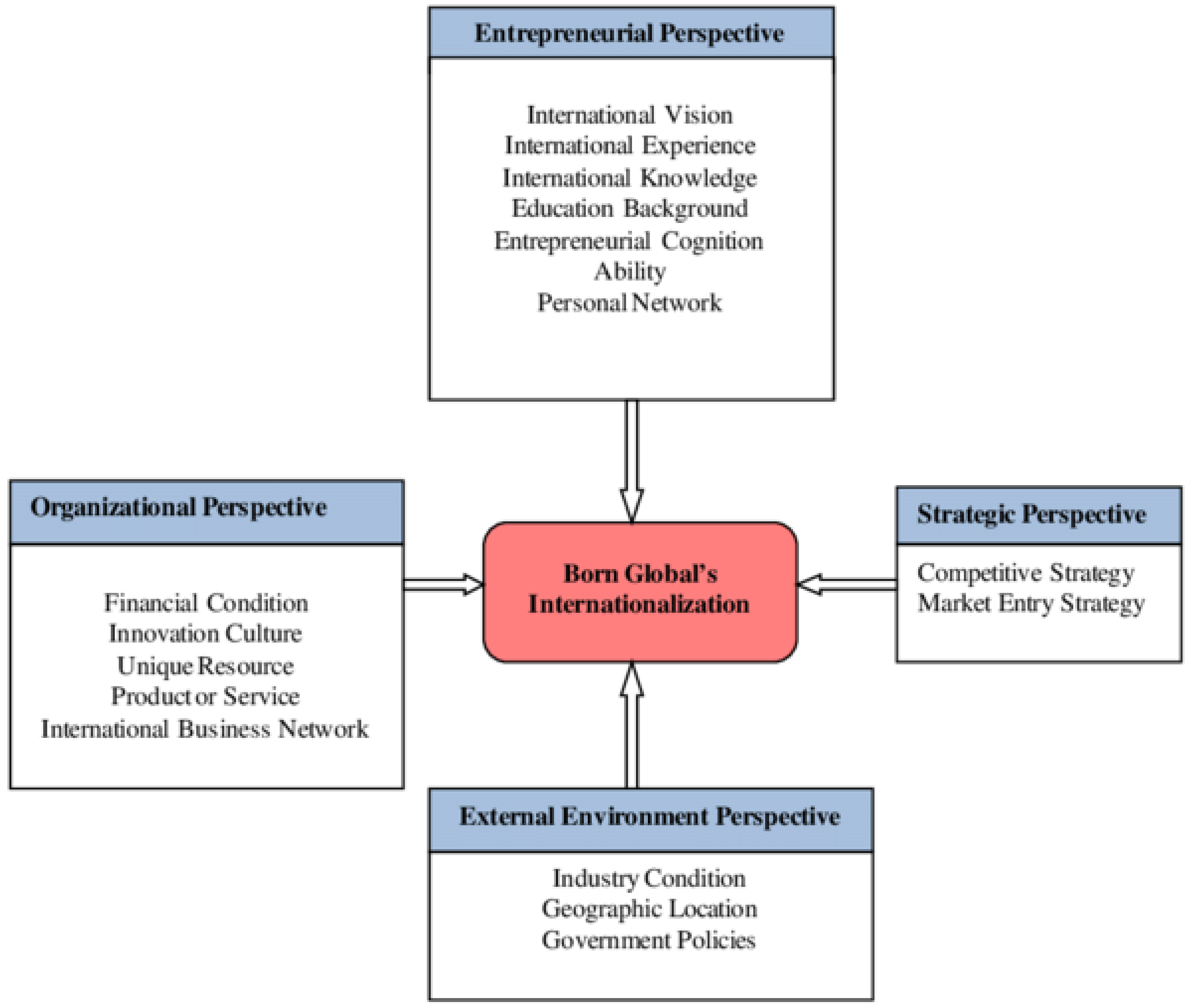
Born global – Yet different?

Having analyzed the similarities of the companies, its also investigated whether there were differences in internationalization strategy, particularly those that might relate to differences in performance.

Two notable differences in strategy:

- The degree of technology acquisition from overseas, and
- The amount of R&D conducted.

Success factors model of born Global internationalization:



Source: Andersson, Svante & Danilovic, Mike & Huang, Hanjun. (2015). Success Factors in Western and Chinese Born Global Companies.

How can Internationalizing firms gain and sustain competitive advantage?

INVESMENT THEORIES – FDI Based Explanation

1. Monopolistic Advantage Theory

- The theory elucidates why firms choose to internationalize their operations.

- Typically, MNCs are at a disadvantage compared to local firms because they must cope with liabilities of foreignness, lack of local know-how, high cost of acquiring this knowledge in other countries, etc.

- Monopolistic Advantage Theory explains that multinational companies prefer FDI because it provides the firm with control over resources and capabilities in the foreign market and a degree of monopoly power relative to foreign competitors.

- Key sources of monopolistic advantage include proprietary knowledge, patents, unique know-how, and sole ownership of other assets.

- The main aspect of this theory is superior knowledge and economies of scale. While going to the foreign market, domestic player has broader knowledge about psychological proximity.

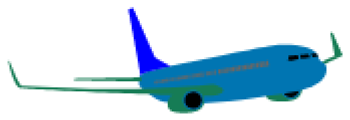
- So, businesses need to go with the superior product in which we have a monopolistic advantage.




INVESMENT THEORIES – FDI Based Explanation

1. Monopolistic Advantage Theory

- Firms that use FDI as an internationalization strategy must own or control certain resources and capabilities not easily available to competitors.
- At least two conditions should be present for a firm to target a foreign market over its home market.
  - First, returns accessible in the foreign market should be superior to those available in the home market.
  - Second, returns achievable in the foreign market should be superior to those earned by existing domestic competitors in the foreign market.

Smartphone	Beverages	Internet	Social Media	Shoe
Apple Inc	 Coca-Cola	Google	Facebook	adidas Adidas
Ott Platform	Beverages	Travel	Ott Platform	Business
Netflix	 De Beers	 Boeing	Amazon	SaudiAramco

INVESMENT THEORIES – FDI Based Explanation

2. Internationalization Theory

- This theory focuses on why firms choose to engage in FDI rather than licensing their technology or knowledge to foreign companies.
- By internalizing their operations, firms can maintain control over their proprietary knowledge and avoid the transaction costs and risks associated with contracting with external parties.
- FDI is more likely to occur when transaction costs with a second firm are high.

  Transaction costs: costs associated with negotiating, monitoring, and enforcing a contract

Stages of Internationalization:

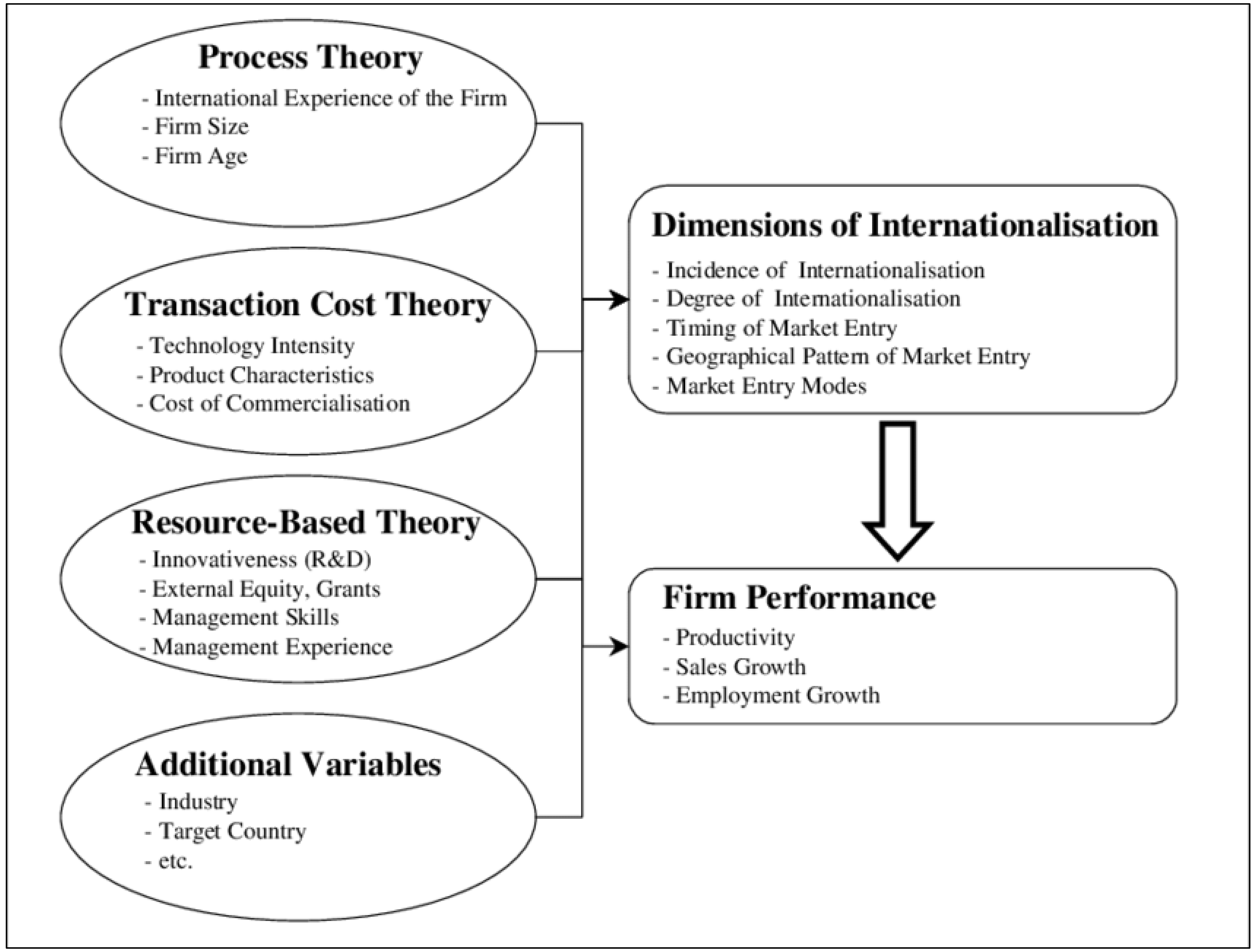
Source: Bandaru, S. (n.d.). Stages of Internationalization in International Business - College Hive. https://collegehive.in/docs/4th_sem/site/GB/Unit-1%20Introduction%20to%20Global%20Business/1.d%20Stages%20of%20Internationalization.html

- Internationalization describes designing a product in a way that it may be readily consumed across multiple countries.
- This process is used by companies looking to expand their global footprint beyond their own domestic market understanding consumers abroad may have different tastes or habits.
- Internationalization often requires modifying products to conform to the technical or cultural needs of a given country, such as creating plugs suitable for different types of electrical outlets.

INVESMENT THEORIES - FDI Based Explanation

2. Internationalization Theory

- Summary of Internationalization Theories and their Operationalization

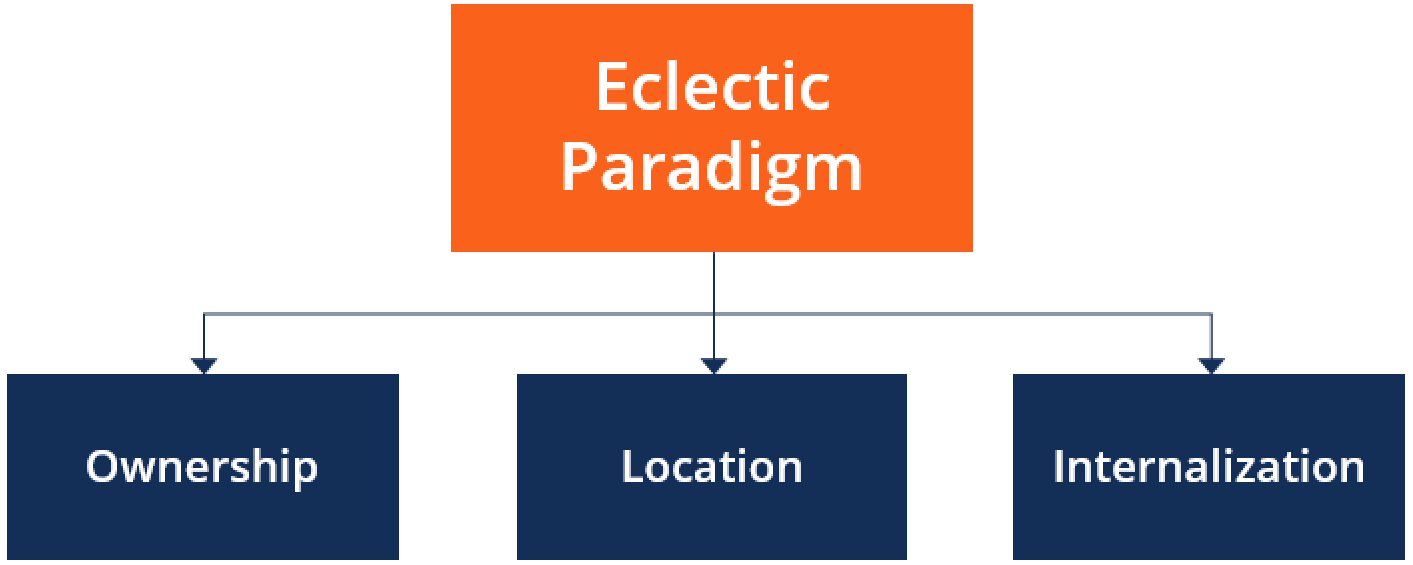


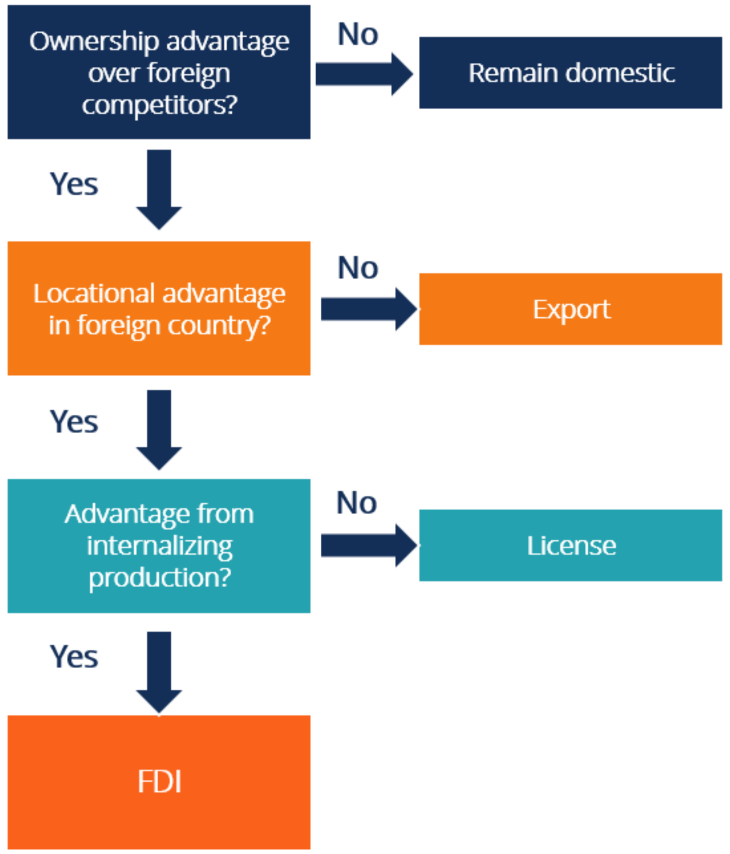
Source: Bürgel, Oliver & Murray, Gordon & Fier, Andreas & Licht, Georg. The Rapid Internationalization Of High Tech Young Firms In Germany And The United Kingdom.

INVESMENT THEORIES – FDI Based Explanation

3. Dunning's Eclectic Paradigm (OLI Model)

- Developed by John H. Dunning, this is a comprehensive theory that combines the previous concepts. It argues that a firm will undertake FDI only when three conditions are met:
  - **Ownership Advantages:** The firm must have a unique advantage, such as a specific technology, brand, or management skill.
  - **Location Advantages:** The host country must offer specific advantages that make it profitable to produce there.
  - **Internalization Advantages:** The firm must find it more profitable to use its ownership advantages through its own operations in the foreign country rather than by licensing them to another company.





Source: Team, C. (2023, October 15). Eclectic paradigm. Corporate Finance Institute. https://corporatefinanceinstitute.com/resources/management/eclectic-paradigm/

INVESMENT THEORIES – Non-FDI-Based Explanations

1. International Collaborative Ventures

- Equity-based joint ventures that result in a new legal entity.
- Non-entity-based (project-based) strategic alliances in which the firm's partner, for a finite duration, to collaborate on projects related to R&D, design, manufacturing, or any other value-adding activity.
  - ✓ *Firms pool resources and create synergy*

2. Networks and Relational Assets

- Economically beneficial long-term relationships
- Family conglomerates – large, highly diversified firm with interlinked ownership


-The End-